Before the
New York State Public Service Commission

In the Matter of

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
AND
KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
Cases 23-G-0225 AND 23-G-0226

September 1, 2023

Prepared Direct Testimony of

New York City Policy Panel

Brian Chang
Julia Casagrande

On Behalf of:

The City of New York

INTRODUCTION

Q. PLEASE STATE YOUR NAME, OCCUPATION AND BUSINESS ADDRESS.

A. Mr. Chang – My name is Brian Chang. I am the Assistant Commissioner of Energy Supply at the New York City Department of Citywide Administrative Services, or DCAS. My business address in One Centre Street, 17th floor, New York, New York.

Ms. Casagrande – My name is Julia Casagrande. I am the Deputy Director for Clean Energy at the New York City Mayor's Office of Climate and Environmental Justice. My business address is 253 Broadway, 14th floor, New York, New York.

Q. ON WHOSE BEHALF ARE YOU SUBMITTING THIS TESTIMONY?

A. The City of New York, or City.

Q. PLEASE DESCRIBE YOUR EDUCATIONAL BACKGROUND.

A. Mr. Chang – I received a Bachelor's degree in Government from the University of Texas at Austin in 2004 and a Master's degree in Energy Management and Finance from Columbia University in 2009.

Ms. Casagrande – I received a Bachelor of Science degree in Environmental Engineering from Cornell University in 2014 and a Master's degree in Civil and Environmental Engineering from Carnegie Mellon University in 2015. I am a registered professional engineer in New York, and I am a Leadership in Energy and Environmental Design Accredited Professional.

Q. PLEASE DESCRIBE YOUR PROFESSIONAL EXPERIENCE AND CURRENT RESPONSIBILITIES.

A. Mr. Chang – I have been in my current position since September 2022. I oversee the teams responsible for implementing demand response programs and purchasing energy for all City agencies, cultural institutions, hospitals, schools, and universities. I manage an annual energy supply budget of more than $850 million per year. Prior to assuming my current position, I led energy management initiatives for the Port Authority of New York and New Jersey in the areas of utility energy purchases, energy efficiency, and renewable energy project development.

Ms. Casagrande – I have been in my current position since May, 2023, and served as a policy advisor for the Resilient and Efficient Buildings team in the same office since February 2020. I lead a team to perform research, facilitate programs, advise and advocate on regulatory matters, and develop actionable policy dedicated to achieving the City's overall climate goal of carbon neutrality by 2050. I assist matters associated with building and vehicle electrification, energy efficiency, geothermal district systems, rates, achievement of concurrent Local Law 97 and Climate Leadership and Community Protection Act goals, and implementation of City energy policies.

Prior to joining the Mayor's Office of Climate and Environmental Justice, I worked as a mechanical engineer and sustainability manager for an engineering consulting firm, where I managed a team of architects and engineers performing energy audits, energy modeling, and sustainability consulting services for various clients.

Q. HAVE YOU EVER TESTIFIED BEFORE ANY AGENCY OR COURT OR IN ANY OTHER VENUE ON THE TOPICS YOU ADDRESS IN THIS TESTIMONY?

A. Mr. Chang – Yes. I testified in the evidentiary hearing for the most recent Consolidated Edison Company of New York, Inc. ("Con Edison") electric and gas rate proceedings in Cases 22-E-0064 and 22-G-0065.

Ms. Casagrande – Yes. I also testified in the evidentiary hearing for the most recent Con Edison electric and gas rate proceedings in Cases 22-E-0064 and 22-G-0065.

PURPOSE OF TESTIMONY

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. The purpose of this testimony is to discuss the City's energy policies, their correlation to State energy policies, and their relationship to these rate cases; the need for balance between the interests of National Grid's customers and shareholders and generally the magnitude of National Grid's rate requests; the need for special attention to infrastructure needs in disadvantaged communities that have disproportionately suffered; and to provide a summary of the City's other pieces of testimony. It is imperative that the National Grid act aggressively to meet the State's and City's energy laws and policy goals. However, the cost of these projects must be justified by a rigorous analysis of emission reductions and cost benefits, and investments should not be solely shouldered by customers, but instead funded with or offset by available federal and state dollars and an equitable contribution from shareholders.

Q. **ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?**

A. Yes. We offer Exhibit__(NYCPP-1), which is a figure showing the relationship between temperature and mortality.

Q. PLEASE SUMMARIZE YOUR TESTIMONY.

A. One of the primary objectives of both the City and State is significantly reducing greenhouse gas ("GHG") emissions through a multi-faceted approach that includes increasing reliance on renewable resources, expanding energy efficiency programs, and reducing methane emissions through efforts such as eliminating the gas leak backlog and the targeted use of renewable natural gas. At the same time, both the City and State are concerned about maintaining a reliable and resilient gas system, keeping gas rates affordable, especially for low income and vulnerable residents, and ensuring that disadvantaged communities benefit equitably in the transition to a clean energy future through targeted investments and programs.

Ambitious energy efficiency, demand response, and beneficial electrification efforts are needed to help meet the City's and State's clean energy transition goals while phasing out capital expenditures that extend the life of gas services or accommodate growing demand. By beneficial electrification, we are referring especially to converting buildings' heating and hot water systems through the use of heat pumps and promoting electric vehicles of all types – light, medium, and heavy duty.

The City is also very concerned about the overall magnitude of the requested rate increases and the impacts of those increases on customers. By way of example, New York City customers' gas delivery costs are expected to increase by approximately 30% based solely on the proposed increases by National Grid ("Company"). These increases would be in addition to the increases recently approved in the Con Edison electric and gas rate cases. The economy is still recovering from the COVID pandemic, and that recovery is slower in New York City than elsewhere. We submit that customers need greater protections than

shareholders, especially in light of the very substantial rate increases that could result from these proceedings. We therefore offer proposals for such protections, including a proposal to increase education and outreach to disadvantaged communities, and a proposal to prohibit terminations during extreme cold weather events, which also benefits public health and welfare.

The City also urges the Commission to reconsider the nature and extent of the incentives it authorizes for National Grid's shareholders. While the City recognizes that incentives may be appropriate to induce exceptional performance, there is nothing to be gained by rewarding shareholders for adequate performance or actions taken by customers with minimal or no Company involvement. Indeed, City and State laws and regulations have advanced green energy policies over the past few years and people are more cognizant of the need to reduce GHG emissions and move away from fossil fuels. So-called outcome-based shareholder incentives that reward shareholders for meeting targets that are achieved as a result of broad market responses with little or no contribution by the Companies serve only to exacerbate energy cost burdens and unnecessarily increase customer bills.

The Commission must carefully scrutinize all of the Companies' requests and proposals and ensure that the rates it adopts are just and reasonable and fairly balance the interests of customers and shareholders.

ENERGY PUBLIC POLICY CONSIDERATIONS

1. Decarbonization and the Clean Energy Transition

Q. PLEASE PROVIDE A BRIEF DESCRIPTION OF THE CITY'S ENERGY POLICIES.

A. Effective energy policy can play a critical role in promoting fairness and equity, reducing burdens on disadvantaged communities, and promoting successful and equitable economic development, public health, sustainability, and resiliency. The City actively seeks to balance objectives that include affordable electric and gas rates, improvement of conditions within disadvantaged communities, equitable treatment of all utility customers, a resilient and reliable utility system—especially for vulnerable populations—and decarbonization.

Beginning with affordable electric and gas rates, the City is committed to identifying pathways to reduce the energy cost burden (defined as the sum of electric, gas and/or fuel oil expenditures relative to pre-tax income). The City applauds the initial efforts taken by the Public Service Commission (the "Commission") to address energy cost burdens on many New York City households, but more is needed. The increases sought by National Grid in these rate cases will exacerbate existing energy cost burdens and likely cause more households to become energy cost burdened. In setting new gas rates, the Commission should consider energy cost burdens and avoid setting new rates at levels that would unduly burden customers, especially low-income customers.

Additionally, the Commission should consider that there are multiple drivers of rate increases that are not reflected in the estimates of delivery rate increases and total bill impacts presented by the Companies. In setting just and reasonable rates, the Commission should look at the totality of costs customers will be required to bear. The City further proposes that, in the interest of transparency, the totality of the costs customers will bear be identified, listed line-by-line, and submitted to the Commission by National Grid for review.

Q. DOES THE PANEL HAVE ANY COMMENTS ABOUT DECARBONIZATION?

A. We believe the need to decarbonize is established and does not need extensive discussion. The City is a vocal advocate for decarbonizing energy infrastructure and buildings, and is leading by example as we prioritize reducing GHG emissions generated by the City's buildings, fleet, and infrastructure. Decarbonization is at the core of the CLCPA, the State's energy policies, the Commission's agenda, and the City's energy laws and policies. These rate cases present an important opportunity to advance decarbonization efforts. Therefore, the Commission should proceed with actions designed to achieve this important public policy objective, consistent with maintaining affordable and reliable service and in conformance with the mandates of the CLCPA.

Q. PLEASE EXPLAIN THIS COMMENT.

A. Perhaps the best example of the need for balance is National Grid's proposal for replacement of leak-prone gas mains. State and City policy requires a systemic transition away from fossil-fuel based infrastructure and technology. While rebuilding an aging gas system may reduce leakage or fugitive emissions on the margin, it also risks extending our reliance on carbon-intensive infrastructure and creating stranded assets. In our view, the Companies' leak-prone pipe strategy is not wholly consistent with the State and City's policy vision and the imperative to address climate change as quickly as possible. Instead, much greater emphasis should be placed on the retirement of gas mains and conversion of customers to heating and hot water systems that do not rely on fossil fuels. This is discussed in more detail in the testimony filed by City witness John Sano. We also encourage the Companies to more aggressively explore and then implement non-pipeline

alternatives ("NPAs") in lieu of traditional utility infrastructure investments, whenever feasible. The Company should also make public and follow transparent guidance regarding when replacement of leak-prone pipe ("LPP") is appropriate, and when it is not because NPAs and non-gas alternatives are available.

Q. HAS NATIONAL GRID DONE ENOUGH TO IMPLEMENT NPAS IN PLACE OF REPLACING LEAK-PRONE PIPES IN THE PAST?

A. No. While the Companies have identified a small number of plans for potential NPAs, none have been implemented to date. National Grid claims that customers have not consented to NPAs but does not explain why or what steps the Companies can take or have taken to overcome these challenges. National Grid should take a more proactive approach to NPA planning and implementation, and design incentives for customer uptake, on a go-forward basis. This should include increased customer outreach and working to mitigate barriers related to customer interest in and execution of NPAs. Moreover, the City submits that the Companies' existing preemptive LPP program be revised to advance NPAs. While the City acknowledges the importance of future leakage prevention, the capital expenditures associated with this program are cause for concern. Rather than undertake preemptive replacement of pipes that have yet to leak, the Companies should be first required to determine whether an NPA is feasible. If an NPA is not feasible, only then should the Company proceed with preemptive LPP replacement.

Q. ARE YOU AWARE OF PREVIOUS COMMISSION ORDERS ON THIS TOPIC?

A. We acknowledge that the Commission, in other rate cases, has approved leak-prone pipe replacements as consistent with the CLCPA, and the final Scoping Plan recognizes the

need for repairs that reduce and eliminate emissions. However, the leak-prone pipe programs should be planned as part of a comprehensive transition plan, and we do not believe National Grid is doing so sufficiently. In our view, a stand-alone leak-prone pipe replacement program is not what the CLCPA Scoping Plan contemplated and is not consistent with the need to transition the gas industry.

Q. WHAT SHOULD NATIONAL GRID BE DOING?

A. Achieving the City's and State's policy goals, reducing the reliance on fossil fuels, and encouraging customers to be more energy efficient will require a coordinated effort among government, the utilities, environmental and community groups, and others. National Grid has an important role to play in this effort.

Q. ISN'T IT TRUE THAT NATIONAL GRID HAS PROPOSED A SERIES OF MEASURES TO BEGIN TO TRANSITION AWAY FROM A TRADITIONAL GAS UTILITY STRUCTURE?

A. Yes, the Companies have proposed some tariff changes and other actions, but we believe these are not sufficient. For example, simply asking a customer whether an alternative to gas (such as electrification) was considered before allowing the customer to sign up for gas service is unlikely to have any material effect. At the same time, National Grid is proposing a very robust capital program that appears to be of a similar scale to previous capital plans. When we view the totality of the Companies' proposal, the approach seems to us to be inconsistent with a timely transition of the gas business consistent with the Scoping Plan.

Q. WHAT SHOULD NATIONAL GRID BE DOING?

A. Overall, National Grid has not presented enough specificity as to its gas system transition plan. The Companies need to put more effort into realizing a future that likely has a much smaller gas footprint. In addition, as highlighted by City witness John Sano, it needs to look more closely at system needs in order to reduce its capital spending over time. The Companies should be focused on hastening the clean energy transition while also reducing the need for unnecessary capital expenditures. Additionally, the City believes that the Companies must initiate localized planning efforts that involve ratepayer stakeholders—including the City—to develop concrete proposals to wind down gas infrastructure.

Q. IS THE CITY TAKING ANY ACTIONS SPECIFICALLY TO REDUCE THE RELIANCE ON FOSSIL FUELS?

A. Yes. Over the last 8 years, the City has completed more than 13,000 Energy Conservation Measures ("ECMs") across 2,000 buildings representing 70% of the City's government building square footage, and we have reduced energy usage by 4.3 million MMBTUs – the equivalent of 301,000 residences – and avoided about $126.2 million in annual energy costs. We've also seen a reduction in our City government operations' emissions by nearly 25%, which is equal to removing approximately 70,000 vehicles from City streets. We have also installed 22 MW of solar generation on city buildings – enough to power more than 3,600 New York City residences for one year, and are expanding our reach to wastewater resource recovery facilities, parking lots and other open spaces to reach 100 MW by 2025.

To reduce reliance on fossil fuels in City-owned and operated buildings, the City has committed to phasing out capital spending on fossil fuel-fired equipment, appliances,

and building systems in PlaNYC.[1] This includes replacing fossil fuel fired equipment with electric alternatives, and exploring the appropriate uses for biogenic fuels, which we explore later on in this testimony. The City has further demonstrated commitment to reducing reliance of fossil fuels through provisions in Local Laws 97 of 2019 and 154 of 2021. We encourage National Grid to collaborate with us as we develop our own transition plan to ensure the energy transition occurs as swiftly and efficiently as possible.

Q. DO YOU HAVE ANY OTHER CONCERNS RELATED TO THE CLEAN ENERGY TRANSITION?

A. Yes. National Grid currently runs an Enhanced High Emitter Methane Detection Program, which is intended to detect and target leaks of "exceptionally large size" for repair or replacements as a means to reduce methane emissions and prevent loss of gas. However, per the last report National Grid filed on this program in April, 2023, the results from the various tests were not reliable due to unexplained inconsistencies. The federal government has passed legislation that hones in on these requirements. It is important that National Grid revisit its program to comply with regulatory requirements and amendments made to the Protecting Our Infrastructure of Pipelines and Enhancing Safety Act of 2020.

Q. WHAT ELSE SHOULD NATIONAL GRID DO, OR NOT DO, RELATED TO ITS GAS BUSINESS?

A. As discussed above, the emphasis needs to be on strategies that are consistent with a systemic transition off fossil fuels. For example, KEDNY should continue to pursue its

[1] https://climate.cityofnewyork.us/wp-content/uploads/2023/06/PlaNYC-2023-Full-Report.pdf

geothermal network pilot projects, which includes a project at a New York City Housing Authority ("NYCHA") campus focused on delivering substantial benefits to a disadvantaged community, which will provide insights into how to best build out thermal energy networks statewide. The Company also should continue to explore the viability of certain low carbon fuels, particularly biofuels produced from local wastes or other processes, such as gas collected from landfills, wastewater resource recovery facilities, and food and agricultural waste. National Grid has made reasonable efforts to explore gas energy efficiency initiatives, and it should continue to explore other potential initiatives. We recognize there have been challenges in identifying cost-effective programs that can provide meaningful savings. Nevertheless, with evolving technologies, new opportunities may arise. The Companies' gas demand response programs also have been used successfully to reduce peak demand, and they should be promoted and expanded where feasible.

As a general matter, the City supports the Companies' efforts to pursue NPAs. However, here too, there needs to be a balance between customer and shareholder interests. It is not acceptable that customers bear 100% of the risks while shareholders receive sizeable incentives or that shareholders receive incentives even if there are no benefits or savings. The Companies need to conduct due diligence on its proposals, demonstrate their likely viability, and share these findings with stakeholders as first steps – before there is any request for or consideration of cost recovery and incentives.

Q. SHOULD THE COMMISSION APPROVE CAPITAL SPENDING ON NEW CUSTOMER CONNECTIONS?

A. No. As explained in more detail in the testimony of City witness John Sano, the City does not support significant capital spending on new customer connections that are not mandated by law. Not only does such spending go against the requirements of the CLCPA, customer growth in New York City will also continue to decrease, if not be eliminated, by New York City Local Laws 154 and 97, beginning as early as 2024. These two local laws will work together to transition existing customers away from the use of natural gas; they also will work to discourage new customers from connecting to the gas system.

Q. PLEASE EXPLAIN LOCAL LAWS 154 AND 97.

A. Local Law 154, enacted in 2021, mandates that new buildings (with certain exceptions) be built to operate without fossil fuel systems. The new requirements begin on January 1, 2024 and phase in fully by December 31, 2027. Any new rates or rate plan would start *after* this law goes into effect. Local Law 97 of 2019 requires a reduction in emissions from the City's largest buildings starting in 2024, with interim targets that reach carbon neutrality by 2050. Meeting the emissions targets of Local Law 97 will require the electrification of buildings currently fueled by natural gas.

Q. WHAT DO YOU RECOMMEND?

A. By eliminating the budget for new customer connections, National Grid will be forced to take more action to minimize new customer additions and explore alternatives to adding new customers, like NPAs, to reduce the need for gas infrastructure and investments. As discussed in the testimony of City witness John Sano, to the extent that National Grid is required by law to connect new customers during its next rate plan, return on those investments can be recovered in a future case.

2. Disadvantaged Communities ("DACs")

Q. WHAT DO YOU MEAN BY THE TERM "DISADVANTAGED COMMUNITIES"?

A. By disadvantaged communities, we mean the census tracts identified by the Climate Justice Working Group in the CLCPA process as disadvantaged communities, and we use the term here to be consistent with the phrasing used by the Climate Justice Working Group.

Q PLEASE DISCUSS THE NEED FOR CONSIDERATION OF THE IMPACTS ON DISADVANTAGED COMMUNITIES.

A. In the CLCPA, the State Legislature declared that "[c]limate change especially heightens the vulnerability of disadvantaged communities, which bear environmental and socioeconomic burdens as well as legacies of racial and ethnic discrimination. Actions undertaken by New York state to mitigate greenhouse gas emissions should prioritize the safety and health of disadvantaged communities, control potential regressive impacts of future climate change mitigation and adaptation policies on these communities, and prioritize the allocation of public investments in these areas." The CLCPA imposes a series of requirements on the Climate Action Council and State agencies related to evaluation of burdens on DACs and provision of a dedicated share of program benefits to such communities.

It is not clear whether customers in DACs receive the same level of attention as customers in other areas. As necessary, National Grid should be required to tailor its program offerings to ensure members of such communities have equal opportunities to access the programs. Examples include providing program information in multiple

languages, partnering with community-based organizations, and customizing outreach and communications materials to reach the targeted audience in a meaningful manner.

Further, the Companies should target localized gas infrastructure decommissioning planning in DACs, focusing on work that would result in co-benefits to communities while pairing decommissioning with programs that will ensure decommissioning does not result in additional costs for low income New Yorkers.

Q. WHAT LANGUAGES SHOULD THE COMPANIES PROVIDE THEIR PROGRAM INFORMATION IN?

A. National Grid should provide materials in the ten most commonly spoken non-English languages in New York City, which include: Spanish, Chinese, Russian, Bengali, Haitian Creole, Korean, Arabic, Urdu, French, and Polish.

Q. WHY IS THE CITY RECOMMENDING NATIONAL GRID PROVIDE ITS PROGRAM MATERIALS IN THESE PARTICULAR LANGUAGES?

A. As noted, these are the ten most commonly spoken languages in New York City. By expanding the number of languages in which outreach and education materials will be provided to customers, National Grid can ensure customers are being informed and protected. If customers cannot understand the information provided by the Companies, whether related to safety matters or program opportunities, they cannot respond. In particular, offering information in more languages should lead to customers understanding how to use energy more efficiently, which will not only promote the Companies' commitment to reducing gas usage but also contribute to achieving the goals of the CLCPA.

Q. HAVE OTHER UTILITIES EXPANDED THE NUMBER OF LANGUAGES FOR THEIR PROGRAM MATERIALS?

A. Yes. In the most recent Con Edison rate cases, the Commission approved the expansion of the number of languages in which outreach and education materials will be provided to customers. Con Edison previously provided materials in English and Spanish. Through the Joint Proposal in its most recent rate cases, Con Edison agreed to provide materials in Russian, Chinese, Korean, Polish, and Bengali as well.

Similarly, in the Joint Proposal currently being considered in the electric and gas rate cases for the New York State Electric & Gas Corporation ("NYSEG") and Rochester Gas and Electric Corporation ("RG&E"), NYSEG and RG&E proposed to include built-in Google Translate options for customers accessing their website content, and will be monitoring trends in the languages accessed to be addressed in the next rate case filing.

Q. PLEASE DISCUSS RESILIENCY AND RELIABILITY CONSIDERATIONS.

A. Our changing climate has placed growing emphasis on the need for highly resilient utility systems. Natural gas service is still critical to residents and businesses, and a reliable gas system likely will remain important for the foreseeable future. Severe storms, previously considered very unlikely, are now occurring every few years. The severity of storms is increasing in both duration and frequency, and climate science indicates that future conditions will worsen. It is anticipated that in the future flooding will impact greater areas and larger numbers of residents.

In maintaining system reliability and increasing system resilience, National Grid must give due consideration to all parts of its service territory, particularly to customers in DACs who are expected to be at greater risk of climate disruptions.

Q. IS YOUR PERSPECTIVE THAT CUSTOMERS IN DISADVANTAGED COMMUNITIES ARE LIKELY TO BE AT GREATER RISK DUE TO CLIMATE CHANGES?

A. Yes. This view is fully supported by the work of the Climate Justice Working Group and its criteria to identify DACs.

Q. DO YOU HAVE ANY SPECIFIC COMMENTS ON THE IMPACTS OF FLOODING?

A. Yes. There are many low-lying areas within New York City that already experience impacts from coastal storm surges and inland stormwater flooding. Climate change is expected increase and expand the impact of flooding from both coastal storms and intense rainfall. The City is taking bold steps to address this concern, including constructing, for example, the East Side Coastal Resiliency Project, which will protect 110,000 residents from coastal storm surges from Montgomery Street to East 25th Street, and implementing the City's Cloudburst program in, for example, South Jamaica, Queens, that will absorb, store and transfer stormwater to protect residents from intense rainfall events.

Q. PLEASE CONTINUE WITH YOUR DISCUSSION OF RESILIENCY AND RELIABILITY CONSIDERATIONS.

A. Residents in DACs suffer from higher rates of respiratory, cardiovascular, and diabetes-related disease in part from poor air from the combustion of fossil fuels. Impacts from

climate change, such as more frequent extreme temperature days and increased precipitation and flooding, can exacerbate these health conditions and create dangerous conditions that threaten public health, particularly in DACs. This underscores the need to maintain a resilient and reliable system as we transition away from fossil fuel use.

3. Overall Rate Impacts

Q. DOES THE PANEL HAVE ANY COMMENT ON THE IMPACT OF THE PROPOSED RATE INCREASES ON CUSTOMERS?

A. Yes. In prior rate cases and in other proceedings before the Commission, the City presented its analysis of the energy cost burdens experienced by New York City residents. That analysis revealed that over 460,000 New York City households have energy cost burdens in excess of six percent of their annual incomes and earn less than 200% of the Federal Poverty Limit.

Since the COVID pandemic, the situation has become worse for many families. Residents in disadvantaged communities have been disproportionately impacted not only by the health problems associated with the pandemic, but also from loss of employment.

Q. WHAT DOES THAT MEAN IN THE CONTEXT OF THESE RATE CASES?

A. It means that utility service presently is unaffordable for an increasing number of New York City residents, and the very substantial rate increases sought by National Grid likely will further increase the number of energy cost burdened households. It also means the Commission needs to carefully examine the totality of the bill impacts that customers will experience when deciding what constitutes just and reasonable rates.

Q. PLEASE EXPLAIN.

A. As we noted previously, National Grid has provided information as to the magnitude of the requested base rate increases on both a delivery and total bill basis. However, the information provided does not convey the full picture of the total bill impacts customers would realize. The bill impacts provided by the Companies should include shareholder incentives, reconciliations, or other types of surcharges.

Thus, the bill increases that customers will bear will be higher—perhaps significantly higher—than the levels stated by National Grid. For customers who are just under the six percent target established by the Commission for energy cost burdens, the total increases very well could put those customers over the six percent level. In real terms, high energy cost burdens cause customers to be forced to choose among paying their utility bills, rent, food, medicine, medical care, and other living expenses.

Additionally, as noted above, the Commission should consider that there are multiple drivers of rate increases that are not reflected in the estimates of delivery rate increases and total bill impacts presented by the Companies.

Q. WHY IS THIS A CONCERN FOR THE COMMISSION?

A. The Public Service Law requires utility rates to be just and reasonable. In setting just and reasonable rates, the Commission should look at the totality of costs customers will be required to bear. We question whether annual rate increases of approximately 30 percent can be considered just and reasonable. Moreover, Section 7(3) of the CLCPA requires the Commission to consider the impacts of its decisions on DACs and ensure that they are not disproportionately burdened. In this matter, all customers will be burdened by the rate increases. However, to the extent the rate increases cause residents located in DACs to

become energy cost burdened, they arguably will be disproportionately burdened. We submit that the Commission should look at the totality of the impacts on customers' bills when assessing National Grid's requests in these cases, with a particular focus on residents located in DACs.

NEED FOR FAIRNESS AND BALANCED CONSIDERATION OF CUSTOMER AND SHAREHOLDER INTERESTS

Q. IN REVIEWING NATIONAL GRID'S RATE FILING, HOW SHOULD THE COMMISSION BALANCE THE INTERESTS OF CUSTOMERS AND SHAREHOLDERS?

A. Based on the Corrections and Updates testimony, National Grid is seeking gas revenue requirement increases of $466.4 million and $277.2 million for KEDNY and KEDLI, respectively, for Rate Year One (April 1, 2024 – March 31, 2025). These represent gas delivery rate increases of 31 and 29 percent for KEDNY and KEDLI gas customers, respectively. These requests are based, in part, on planned gas capital investments of about $4 billion for KEDNY and $2.7 billion for KEDLI over the proposed four-year rate plan. These requested increases come on the heels of electric delivery base rate increases that approximate 6.6%, 6.2%, and 5.8% over the next three years based on a Joint Proposal filed in a recent Con Edison rate case and recently approved by the Commission.

Q. TURNING BACK TO THE NEED FOR BALANCE, PLEASE CONTINUE PROVIDING YOUR PERSPECTIVE.

A. There is a need to balance the Companies' proposals for the gas systems with the impacts of those proposals on customers. However, the Corrections and Updates testimony actually **increased** the requested systemwide rate relief by 3 and 5 percent, for KEDNY and KEDLI

customers, respectively. The Commission must carefully review and evaluate the Companies' proposals and make adjustments to the requests to ensure that the rates charged to customers are fair and reasonable.

Q. WHAT DO YOU RECOMMEND?

A. As we explain in more detail below, the City expert witnesses testify that rate requests should be materially reduced due to adjustments on depreciation expense and capital expenditures and that certain incentive mechanisms should be adjusted or eliminated. We ask that the Commission consider these adjustments, along with others that DPS Staff may offer, in order to reduce the burden on National Grid customers.

Q. EARLIER, YOU TESTIFIED THAT NATIONAL GRID SHOULD BE PERMITTED TO RECEIVE SHAREHOLDER INCENTIVES FOR SUPERIOR PERFORMANCE. PLEASE EXPAND ON THAT STATEMENT.

A. The City recognizes that sometimes rewards are needed to induce certain desired behavior. In the case of utilities, shareholder incentives—both positive and negative—have been used for many years to discourage poor performance and encourage the utilities to do tasks they otherwise may not do. At the same time, the Public Service Commission has very broad power to order the utilities to take certain actions or refrain from taking other actions to affect utility behavior. Violations of Commission Orders can result in monetary penalties of hundreds of thousands of dollars or more.

Accordingly, there is no reason to provide shareholder incentives to National Grid related to any action that the Commission requires the Companies to do or not to undertake, and for which the Companies would be liable for penalties for failure to comply. One

example, as discussed in the City witness testimony of John Sano, is the requested gas leak backlog shareholder incentive. Remediation of active leaks serve as a basic utility compliance obligation necessary to maintain safe and reliable service. These costs are passed to the ratepayers, do not create additional risk for shareholders, and therefore, do not require incentives.

Achieving GHG reductions, decarbonization, and electrification are now matters of law in New York. Indeed, the elimination of the gas leak backlog will further these efforts by reducing methane emissions from National Grid's system. The State is taking multiple steps to achieve the CLCPA's goals, and as demonstrated by the Climate Action Council's draft Scoping Plan, many more actions are contemplated. Rewarding National Grid's shareholders because of actions to satisfy legal obligations no longer serves any valid purpose. As such, positive shareholder incentives for average performance, necessary to meet State goals, should be eliminated.

Where the Companies may take discretionary actions that are outside the scope of CLCPA compliance or goes significantly above and beyond law's requirements, the use of shareholder incentives may be appropriate. In such cases, though, the incentives should reward only superior performance, not business-as-usual conduct. Even in such cases, care is needed to ensure that targets are properly set.

Q. DO YOU HAVE ANY OTHER RECOMMENDATIONS?

A. Yes. Positive shareholder incentives should no longer be automatic. As a condition to receiving positive shareholder incentives, National Grid should be required to provide a narrative description demonstrating how its actions—and not exogenous factors such as

background market trends, economic conditions, or major events—resulted in achieving the incentive. The Commission should reserve and exercise its discretion, as needed, to ensure that the letter and spirit of each shareholder incentive is met before approving additional collections from customers. This approach would appropriately protect customers against unearned and unjust benefits to shareholders.

LIMITATIONS ON SERVICE TERMINATIONS

Q. IS THE PANEL AWARE THAT NATIONAL GRID ALREADY IS SUBJECT TO CERTAIN RESTRICTIONS AND LIMITATIONS ON TERMINATING CUSTOMERS?

A. Yes. We are aware of provisions of the Commission's regulations that impose certain requirements and restrictions on a utility's ability to terminate elderly, blind, disabled customers, customers with medical emergencies, and others whom rely on life support systems.

Q. ARE THESE PROVISIONS SUFFICIENT TO REASONABLY PROTECT CUSTOMERS?

A. They are a good start, but no, they are not sufficient.

Q. PLEASE EXPLAIN WHY NOT.

A. New York State's Home Energy Fair Practices Act, or HEFPA, prohibits National Grid from disconnecting utility service for residential customers during November 1 to April 15 (the "cold weather period") "where the utility ascertains that such resident is likely to suffer from a serious impairment to human health or safety as a result of termination, disconnection or suspension."

However, HEFPA does not include a measure to prohibit utility disconnections to other residential customers during cold weather based on temperature thresholds. The responsibility is placed on each utility to determine the "likelihood" of a shutoff causing serious impairment to health or safety without defining what qualifies as "serious" or how this should or could be determined. This lack of specificity introduces significant liability risk for National Grid (and other utilities), particularly given the documented morbidity and mortality impacts of cold exposure and lack of available information about the age and health of people living in residential customer households.

Q. TO THE PANEL'S KNOWLEDGE, ARE THE NEW YORK REQUIREMENTS DIFFERENT THAN THOSE IN OTHER STATES?

A. Yes. A growing number of cities and states now prohibit utilities from terminating residential customers during periods of very hot or very cold weather. For example, in the winter, Delaware, Maryland and Georgia, among others, have both temperature- and seasonal-based protections in place. Los Angeles prohibits service terminations for non-payment at any time of the year for low-income customers participating in an Energy Assistance Program. By enacting such broad protections, the states have eliminated the need for utilities to make health-related decisions that they are ill-equipped to make. The states have further added clarity for all—customers and utilities alike—as to when customer terminations may and may not be used.

Q. WHAT ARE THE DANGERS OF LIVING WITHOUT HEAT AND/OR POWER IN COLD WEATHER?

A. Exposure to cold temperatures can cause death and serious illness. Each winter season from 2005 to 2018 in New York City, there were an average of about 15 cold stress deaths, as well as 240 hospital admissions and 180 treat-and-release emergency department visits for cold-related illness. By winter season, we mean October through April. The data show that 25% of cold-stress deaths were people who died at home. All who died at home were 60 years old or older and had no heat within their homes. As a result, they were exposed to dangerously cold temperatures inside their homes.

Q. ARE THERE OTHER FACTORS WHICH SHOULD BE CONSIDERED?

A. Yes. The cold-related deaths and illnesses represent a small fraction of the total burden of cold-related health impacts. Cold exposure can exacerbate existing health conditions, including asthma, other respiratory conditions, and cardiovascular conditions, sometimes resulting in emergency department visits, hospitalizations, or death. Moreover, residents of households without proper heating may resort to using alternative heat sources, like kerosene heaters or gas stoves. These alternatives not only create a risk of carbon monoxide poisoning and fires but also can result in the loss of life. A tragic example of this occurred in the Bronx on January 9, 2022, when use of an alternative heating device led to an apartment fire that killed seventeen residents.

Q. WHO IS MOST VULNERABLE TO ADVERSE HEALTH IMPACTS DURING COLD WEATHER?

A. People who are most at risk of cold weather health impacts include those with certain underlying medical conditions, including cardiovascular or respiratory diseases, and people who have mental health conditions, developmental disabilities, physical disabilities,

or trouble leaving the home. Older adults, infants and young children are biologically more susceptible to adverse impacts from cold weather.

Q. ARE THERE ANY STUDIES WHICH SUPPORT THESE ASSERTIONS?

A. Yes. Scientific studies support all of the assertions we are making. Particular to this issue, a national study of disconnections found that households with children were more likely to have a disconnection than households without children, putting them at greater risk of exposure to the health risks we just described.

Q. HOW CAN NEW YORK CITY RESIDENTS BE BETTER PROTECTED DURING COLD WEATHER?

A. Heating is necessary to maintain health and safety during cold weather. While the Companies are supposed to follow protocols to prevent disconnections if a resident would suffer a serious impairment to health or safety, and we understand that National Grid does so, the process is complicated and does not protect all who need it. As we noted, many customers do not report their conditions or circumstances, or those of all household members, to National Grid, so the Companies may not be aware of special needs of many of its customers. As a result, many residents who are vulnerable to temperature-related health effects and who are subject to HEFPA protections could be disconnected unwittingly.

In addition, available coping mechanisms for residents living with limited resources hold significant health and safety risks for all members of households, regardless of age or underlying health conditions. While people across US regions receive disconnection notices at the same rate, households in the Northeast are the most likely of all US regions

to actually experience utility disconnections. This data indicates that areas like New York City may be lacking in sufficient disconnection protections.

Q. WHAT DOES THE PANEL RECOMMEND?

A. The Commission should establish a disconnection ban for any residential customer when the wind chill temperatures are below 32 degrees Fahrenheit, which is the threshold used in other states as being the appropriate level to protect the public against unsafe cold temperatures. The New York City Department of Homeless Services uses this temperature threshold to conduct enhanced outreach to homeless individuals to help them get into shelters. This ban should be instituted on top of the seasonal protections already in place as an added layer of protection.

Notably, the proposed threshold is substantially lower than the World Health Organization guidance, which establishes a general minimum safe temperature of 64.4 degrees Fahrenheit and suggests a higher minimum temperature may be necessary for vulnerable groups like seniors, children, and people with chronic illnesses, especially cardiovascular disease. Using our recommended temperature threshold will also provide additional definitions and clarify the existing disconnection policy.

Q. IS THERE A RELATIONSHIP BETWEEN TEMPERATURE AND MORTALITY?

A. Yes. Analysis reveals that in New York City, there is a non-linear relationship of temperature to hypothermia deaths on the same and following day, showing that risks increase exponentially as temperatures cool. This relationship is shown on the figures included as Exhibit __(NYCPP-1).

Q. APPROXIMATELY HOW MANY DAYS PER YEAR ARE AT OR BELOW THIS TEMPERATURE LEVEL IN NEW YORK CITY?

A. From 2012 to 2021, National Weather Service data from all three New York City stations show temperatures fell to or below 32 degrees Fahrenheit an average of 73 days each heating season per year. City housing regulations define the heating season as October 1 to May 31.

Q. WHO SHOULD BE COVERED BY THIS TEMPERATURE-BASED PROTECTION?

A. Given the relatively large population at risk from a serious impairment to human health and safety because of loss of utility service, no residential customer should be subject to termination when these weather conditions are met.

Q. HAVE ANY OTHER UTILITIES IMPLEMENTED SUCH TEMPERATURE-BASED PROTECTIONS?

A. Yes. In the most recent Con Edison gas rate case, the Commission approved proposed cold weather protections during the period of November 1 to April 15. These protections include: (i) use of Home Energy Assistance Program ("HEAP") payments for service restoration when service is disconnected for non-payment; (ii) use of HEAP payments as down payments for deferred payment agreements; (iii) suspension of residential service terminations due to non-payment on any day when the forecasted high temperature, factoring in wind chill, will not exceed 32 degrees, even if these days occur outside November 1 to April 15; and (iv) suspension of all service terminations for elderly (defined as age 62 and above), blind, and disabled customers from November 1 to April 15.

Similarly, in the pending NYSEG and RG&E Joint Proposal, the utilities proposed a ban on residential service terminations on days when the wind chill values are at or below 32 degrees Fahrenheit, and a voluntary moratorium on winter terminations for the elderly, blind, and disabled.

ENERGY EFFICIENCY AND DEMAND RESPONSE

Q. PLEASE DESCRIBE SOME OF THE INITIATIVES BEING PURSUED BY THE CITY.

A. In accordance with City policies and requirements of various local laws, the City is implementing measures to reduce the carbon emissions from City government operations by 40 percent by 2025, 50 percent by 2030, and 80 percent by 2050. For example, the City's vehicle fleet will achieve carbon neutrality by 2040, including an interim commitment that all light duty on-road vehicles (except law enforcement and emergency response vehicles) will be electric models by 2030.

The City benchmarks the energy usage of its buildings in compliance with Local Law 84 of 2009 and performs energy audits in its buildings to identify opportunities to improve efficiency in compliance with Local Law 87 of 2009. In all, about 3,000 buildings were evaluated over a ten-year period. Based on that information, as well as energy audits and other site-specific assessments, the City has developed and continues to develop retrofit projects, upgrades, operational changes, preventative maintenance, and conservation measures, as appropriate. Examples include new lighting, heating, cooling, ventilation, and energy management systems. The City also conducts outreach and funds

training for facility engineers and managers, support services staff, and building maintenance personnel.

Separately, the City has been installing solar photovoltaic systems on the rooftops of schools and other City buildings. Complementary to its energy efficiency programs, the City is an active participant in demand response programs administered by National Grid, starting with a pilot participation effort in 2017 that has since expanded to 93 facilities committing over 5,200 dekatherms of gas curtailments during the most recent winter 2022-2023 season.

The City has also enacted numerous laws targeted at reducing citywide emissions, with Local Law 97 of 2019 mandating a 40% reduction in emissions citywide by 2030 and 80% reduction by 2050. This law was built upon by a later commitment to Citywide carbon neutrality by 2050. Local Law 154 of 2021 prohibits fuels with high emissions profiles. Local Laws 92 and 94 of 2019 mandate analysis of the potential for and deployment of climate infrastructure on City roofs. As of 2021, NYC has reduced citywide greenhouse gas emissions 17.6% from its 2005 baseline.

The City also manages the NYC Accelerator, a free service which provides resources, training, and guidance to help building owners and industry professionals improve energy efficiency and reduce carbon emissions from buildings.

Q. HOW MUCH HAS THE CITY SPENT ON ENERGY EFFICIENCY INITIATIVES TO DATE?

A. Since 2014, the City has invested more than $1 billion on energy efficiency projects within almost 2,000 buildings. Separately, the City has spent about $44 million on more than 125

completed solar projects. The City also has invested approximately $15.5 million in training City employees in the areas of energy efficiency and renewable energy.

Q. APPROXIMATELY HOW MUCH DOES THE CITY PLAN TO SPEND ON ENERGY EFFICIENCY INITIATIVES?

A. Given the requirements of Local Law 97 and commitments the City has made to reduce emissions and be more efficient, the City is increasing its planned spending on capitally eligible energy efficiency projects to more than $3.3 billion over the next eight fiscal years.

Q. PLEASE COMMENT BRIEFLY ON THE RESULTS OF THE CITY'S EFFORTS.

A. The City has reduced in annual energy costs by about $112 million and avoided 3.5 million MMBtu of energy. The City has reduced GHG emissions from municipal operations by 25.7% as of 2021, as compared to a Fiscal Year 2006 baseline.

Q. NATIONAL GRID STATES THAT ITS PROPOSAL IS INTENDED TO ADVANCE STATE POLICY GOALS. IS THE CITY'S POSITION EQUALLY SUPPORTIVE OF ACHIEVEMENT OF STATE POLICY GOALS?

A. Yes. The City is engaging in substantial efforts to help achieve concurrent State and City policy goals. In 2021, the City entered into a multi-billion-dollar contract with NYSERDA to purchase Tier 4 renewable energy certificates. The quantities purchased will allow City government operations to become 100 percent carbon free once the Tier 4 projects commence operations—over a decade in advance of the targets established first by the Commission and subsequently by the CLCPA.

As already noted, the City is engaged in a multi-billion-dollar program to make its operations more energy efficient. The City is investing in energy efficiency and

electrification improvements at schools, police stations, community centers, homeless shelters, and other social services locations. Further, the City has benchmarked and conducted energy audits at most of its buildings. Based on this information, comprehensive plans have been developed to reduce their energy usage.

Q. WHAT IS NATIONAL GRID PROPOSING TO INCREASE ITS ENERGY EFFICIENCY EFFORTS?

A. In addition to its existing energy efficiency efforts as part of the New Efficiency: New York ("NE:NY") proceeding, National Grid is proposing the following incremental energy efficiency programs: (1) Weatherization Health & Safety; (2) Disadvantaged Community Outreach; (3) Energy Efficiency Language Access Pilot; and (4) Digital Building Replica Pilot. However, each of these pilot programs seems to focus on education and outreach to assist customers in understanding the Companies' energy efficiency programs, as opposed to improving upon the programs themselves.

Q. HAVE NATIONAL GRID'S ENERGY EFFICIENCY PROGRAMS BEEN SUCCESSFUL THUS FAR?

A. According to the Energy Efficiency and Building Electrification Report filed as part of the NE:NY Interim Review, both KEDNY and KEDLI have achieved savings that should meet, if not exceed, the targets set forth in the NE:NY proceeding for its gas programs. However, in its Capacity Demand Metric Report for Rate Year 3, National Grid reported that it did not meet its energy efficiency metric for 2022 due to challenges related to market readiness, economic conditions affecting building retrofit projects, and customer enrollment in weatherization incentives. It is clear that more needs to be done to mitigate

these challenges moving forward. National Grid should be required to include such mitigation measures in any and all energy efficiency planning moving forward.

Q. WHAT IS THE CITY'S POSITION ON DEMAND RESPONSE?

A. The City is a strong supporter of demand response and has consistently advocated in other Commission proceedings and in other forums for increased emphasis on its use. National Grid's demand response programs have been relatively successful thus far, and the City submits that these programs and actions must be continued, if not bolstered.

Q. DO YOU HAVE ANY ADDITIONAL COMMENTS ON NATIONAL GRID'S PROPOSED FUTURE OF HEAT PROGRAMS?

A. Yes, as discussed in the testimony of City witness John Sano, the Commission should impose a dedicated capital tracker for Future of Heat projects. This dedicated tracker will ensure that approved capital dollars are either spent on the Future of Heat projects or returned to ratepayers, and not otherwise reallocated for traditional fossil fuel infrastructure projects.

HYDROGEN AND RENEWABLE GAS

Q. WHAT IS THE CITY'S POSITION ON THE USE OF HYDROGEN?

A. Broadly, the City recognizes that there are many efforts underway to evaluate the use of hydrogen, and the City generally supports such efforts. It is essential that as we broaden our understanding of hydrogen's role in the clean energy transition, policies are simultaneously developed to ensure safe utilization without the unintended consequence of additional emissions of other harmful pollutants. Hydrogen is an extremely flammable gas that causes fires and explosions if not properly handled. Therefore, safe transportation and

storage requirements are critical. Additionally, hydrogen and other low carbon fuels raise concerns around criteria pollutants.

Q. WOULD CHANGES BE NECESSARY TO THE NEW YORK CITY FIRE CODE?

A. According to New York City Fire Code Section 5007.10.1, it is unlawful to transport compressed gases, including liquefied hydrogen, in a cargo tank. While National Grid is not proposing to transport hydrogen via trucks, the Fire Code creates questions regarding how the Company intends to transport hydrogen to make it a viable energy source. This presents significant safety and security issues and would require collaboration with the City to ensure all safety standards are met and all codes are up to date.

Q. WHAT IS THE CITY'S POSITION ON RENEWABLE NATURAL GAS?

A. The City believes that renewable biofuels made from organic waste feedstocks or from wastewater treatment plants—such as the proposed New York City Department of Environmental Protection Newtown Creek Wastewater Resource Recovery Facility project—in the New York region may present a viable option to decarbonize limited quantities of the existing gas system's fuel supply in the future. As is discussed in more detail in the City's testimony by witness John Sano, using renewable natural gas, or RNG, in lieu of natural gas can help facilitate an overall reduction in methane emissions. The City is open to proposals in which National Grid would use RNG that is produced locally and sourced from local waste as a replacement for natural gas, provided that a thorough life-cycle analysis of the RNG demonstrates substantial CO_2e emission reductions as compared to fossil fuels.

The City is supportive of utilizing renewable natural gas in hard to electrify end uses, but asserts that utilizing renewable natural gas blended with fossil gas should not be considered a reason to perpetuate the gas system in lieu of electrification.

Q. PLEASE EXPLAIN THIS DISTINCTION.

A. The decay of organic matter produces a combination of methane and carbon dioxide. Methane produced from uncontrolled decay is emitted directly into the atmosphere, where it is a far more potent precursor to GHG emissions than carbon dioxide. Methane produced from controlled decay, such as in a wastewater resource recovery facility, is often flared to the atmosphere to convert it into carbon dioxide and lower its GHG emissions potential. If that methane is instead captured and re-used, the net effect on the environment is either zero or positive. That is, the captured methane used to create electricity has a zero net effect because the methane would otherwise have been flared and produce the same amount of carbon dioxide. To the extent methane that otherwise would have been directly emitted is captured and used to create energy, the net effect is positive because the global warming potential of the resultant carbon dioxide is 27 to 83 times lower than methane.

Q. WHAT SHOULD RENEWABLE NATURAL GAS BE USED FOR?

A. The City recommends that RNG be used to target buildings and end uses that are hard to electrify.

Q. DO YOU HAVE ANY ADDITIONAL COMMENTS OR CONCERNS ABOUT HYDROGEN AND RENEWABLE NATURAL GAS?

A. While both present viable options for new, cleaner energy sources as we move forward in the energy transition, there remain concerns regarding criteria air pollution produced both from RNG and hydrogen that should continue to be addressed.

ARREARAGES AND UNCOLLECTIBLE BILLS

Q. DOES THE PANEL HAVE ANY COMMENTS ON THE COMPANIES' PROPOSAL FOR A FULL RECONCILIATION FOR UNCOLLECTIBLE EXPENSES?

A. As explained more fully in the testimony of City expert witness Michele Chait, the City is opposed to the Companies' proposal for a full reconciliation of uncollectible expenses.

Q. DO YOU HAVE ANY FURTHER COMMENTS ON THIS MATTER?

A. Yes, as part of risk management, the Companies should proactively work with its customers to establish deferred payment agreements. While the City understands the Companies currently engage in this practice, the proposal for full reconciliation could obviate motivation for the Companies to be proactive when dealing with customers as shareholders would be compensated in any event. Therefore, the City submits denial of the proposed reconciliation, or even reductions to the permitted amount shareholders would recover via the reconciliation is appropriate. Such action should incentivize the Companies to take additional steps to both help customers reduce their arrearages and minimize concomitant of uncollectible expenses.

SUMMARY OF OTHER CITY TESTIMONY

Q. PLEASE PROVIDE A BRIEF OVERVIEW OF THE OTHER TESTIMONY BEING SUBMITTED BY THE CITY.

A. The City is submitting three additional pieces of testimony addressing the following topics:

- City witness Michele Chait is addressing a series of rate design issues, including the recommended interclass revenue allocation, intraclass rate designs and proposed new cost reconciliation mechanisms.
- City witness John Sano is addressing the Companies' proposals for gas capital projects and operations and maintenance activities, the Companies' shareholder incentives proposals related to such projects and activities, and the Companies' proposals related to gas safety metrics.
- City witness David Garrett is addressing depreciation-related issues, including the need for generational fairness and the Companies' proposal to reduce gas service lives.

Q. DO YOU HAVE ANY ADDITIONAL COMMENTS REGARDING THE COMPANIES' RATE CASE FILING AND REVENUE REQUIREMENT REQUESTS?

A. Overall, the City is very concerned about the magnitude of the Companies' requests. While we appreciate that the provision of utility service has become more complicated over time, and National Grid must address a larger number of competing demands and challenges, the Companies have an obligation to prudently manage their businesses and maintain affordable service. The Commission will need to exercise close and continuous oversight of the Companies to ensure that the work done by National Grid to maintain the systems is being undertaken and completed competently and prudently.

Q. DO YOU WISH TO ADD ANYTHING ELSE?

A. The Public Service Commission should adopt revenue requirements, rates, charges, rules, and processes that are sufficient to provide safe and adequate service, designed to advance and facilitate achievement of the City's and State's companion public policy goals, protect New York residents – especially low income residents – from excessive energy cost burdens, limit the nature and quantity of positive shareholder incentives, and build in protections to protect against overearnings resulting from unrealistic spending requests.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes.